



CA INTER MAY 2026

AUDITING & ETHICS

AUDIT STRATEGY , PLANNING & PROGRAMME

ONE SHOT



CHAPTER 3 – AUDIT STRATEGY, PLANNING & PROGRAM

Barcode -Code

"SA - 300 : Planning an Audit of Financial Statements"

➤ Stages of Audit



➤ Audit Strategy

Meaning:	It sets the scope, timing, and direction of the audit, and guides the development of the more detailed audit plan . (Author's Note: Strategy means What is his Aim & Decision ?)
Q1. Enumerate the factors to be considered while establishing an overall audit strategy [OLD].	
Factors: (Trick: CEO-RP)	Factors while establishing Overall Audit Strategy: Characteristics of engmt/Scope: Identify the characteristics of the engagement i.e. Scope Team's Efforts: Consider the factors that, in the auditor's professional judgment, are significant in directing the engagement team's efforts. Reporting Objectives: Ascertain the reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required NTE of Resources: Ascertain the NTE of resources necessary to perform engagement. Preliminary Work: Consider the results of preliminary engagement activities and, where applicable, whether knowledge gained on other engagements performed by the engagement partner for the entity is relevant. [Above answer End - Refer "Additional PDF Booklet" for Detailed Explanation of Above points]
Reporting objectives of the engagement: [Timetable ke hisaab se Work karo & report issue karo.. battein mat karo]	Q2. In establishing overall audit strategy, Auditor shall ascertain the reporting objectives of engagement to plan the timing of audit & nature of the communications required., Or CSQn → Many dates are given like: Audit planning (1st July), review by EQCR (4th July), Review By Partner (8th July), Audit Finalised (10th July) etc. dates. above working paper lists certain factors which are considered by auditor while establishing strategy. Explain how these considerations highlighted in above working paper could have helped auditor? (It's Hint Qn) One of the factors to be taken into consideration while establishing audit strategy relates to ascertaining of reporting objectives of engagement to plan the timing of the audit & the nature of the communications required Auditor can ascertain the reporting objectives of the engagement: - The entity's timetable for reporting, such as at interim and final stages - The organization of meetings with Mngt and TCWG to discuss the NTE of the audit work - The discussion with Mngt and TCWG regarding the expected type and timing of reports to be

	issued and other communications, both written and oral. - The discussion with management regarding the <u>expected communications on the status of audit work</u> throughout the engagement. - Expected <u>nature & timing of communications among engagement team</u> members, including the nature and timing of team meetings and timing of the review of work performed.
Characteristics of Engt: <i>Phle hi tra nature dkh liya tha, report bhi kr diya</i>	Q3. In establishing the overall audit strategy, the auditor shall identify the characteristics of the engagement that define its scope. Explain with example. (Old - RTP May'23) Some of characteristics are as under: - - Expected use of audit <u>evidence obtained in previous audits</u> <u>Nature of business segments</u> to be audited including the need for specialized knowledge - Applicable <u>FRF applicable</u> to the entity <u>Industry specific reporting requirements</u> required by industry regulators.
Direct efforts of Engmnt Team: <i>(Industry regulation, FRF, Law me changes)</i>	Q4. The auditor needs to <u>direct efforts of engagement team towards matters</u> that in his professional judgment are significant. More <u>energies need to be devoted to significant matters to obtain desired outcomes</u>. Give 3 examples. (MTP'24 & Qn May'24) Q. identified some key area require → <u>directed the engt team to focus on these critical areas</u> → Give <u>some examples of factors need to be considered</u> for establishing audit strategy More energies need to be devoted to significant matters to obtain desired outcomes. Eg.: <u>Significant industry developments</u> such as changes in <u>industry regulations</u> and new reporting requirements. <u>Significant changes in the FRF</u>, such as changes in accounting standards. <u>Other significant relevant developments</u>, such as changes in the <u>legal environment</u> affecting the entity <u>Volume of transactions</u> which may determine <u>whether</u> it is <u>more efficient</u> for the auditor to <u>rely on internal control</u>
Q5. Auditor is worried as to management of key resources to be employed to conduct audit i.e., How the audit strategy would be helpful / Assist the auditor [MTP'24] ? OR, Q. Describe how process of establishing the <u>audit strategy assists auditor in marshalling his human resources</u> Q. Describe how the process of establishment of overall audit strategy will assist him in managing deployment of his human resources for various audit areas (Sept'24) <u>Answer:</u>	
Benefits: <i>Resources ko: Employ, allocate, timing & manage</i>	The process of establishing the overall audit strategy <u>assists the auditor to determine</u>, subject to the completion of the auditor's RAP, <u>such matters</u> as: - <u>Employment of Qualitative Resources:</u> The resources to deploy for specific audit areas, such as the use of <u>appropriately experienced team members</u> for <u>high risk areas</u> or the involvement of experts on complex matters. <u>Allocation of Quantity of Resources:</u> The <u>amount of resources to allocate</u> to a specific audit areas, such as the <u>number of team members assigned to observe the inventory count</u> at material locations, the extent of review of other auditors' work in the case of group audits, or the audit budget in hours to allocate to high risk areas. <u>Timing of Deployment of Resources:</u> When these resources are to be deployed, such as whether at an <u>interim audit stage</u> or at <u>key cut-off dates</u>. <u>Management of Resources:</u> How such resources are <u>managed, directed and supervised</u>, such as when team briefing and debriefing meetings are expected to be held, how engagement partner and manager reviews are expected to take place (for example, on-site or off-site), and whether to complete engagement quality control reviews.
Q6. Due to change in information technology regulations by <u>Govt</u>, companies has to constitute "<u>grievance</u>	

Answer: Changes in laws and regulations affecting the company is a factor to be considered while establishing overall audit strategy. Non-compliance of the same can have implications in form of civil and criminal liabilities. changes in L&R is to be considered by auditor while establishing overall audit strategy.

So CA P Inquired In-House IT head about Maintenance of Digital database to identify and assess the risk of non-compliance. (1) Whether CA P required to consider this in A. Strategy (2) Whether Procedure planned by CA P is in Line with SA 300 [Jan'25] → Refer Full Answer in Qn Bank

(i) SA 300 → Refer above notes → "Meaning of Audit Strategy" & Brief about "factors to consider"

In Given Case, → Heavy fines may be imposed in case of non-compliance → it is very essential that auditor while establishing overall audit strategy evaluate whether the company maintains such a database and complies with the regulatory requirement.

(ii) SA 300, planning includes the need to consider, prior to the auditor's identification and assessment of the ROMM, → Matters Such as → obtaining a general understanding of the legal and regulatory framework applicable to the entity and how the entity is complying.

In given case → CA P planned to inquire from in-house IT Head, regarding the maintenance of the digital database is an appropriate procedure, This inquiry help CA P in

(a) Obtaining General understanding of L&R applicable to company (b) how entity is complying with that planned inquiry with the IT Head is in line with SA 300.

 – Student Specific Code

(MALE-O...)



	the entity and its environment, including the entity's internal control, to identify and assess the ROMM, whether due to fraud or error at the financial statement and assertion levels.
Involve Key member:	Q. Article Saying that Audit Plan is not required to be discuss with Senior Member → Wrong Engagement partner and other key members of the engagement team shall be involved in planning → their experience and insight , thereby enhancing the effectiveness and efficiency .
Discuss with Entity's mngt:	Q. Article Saying that Plan is not required to discuss with Mngt → as it will end unpredictability The auditor may decide to discuss elements of planning with the entity's mngt to facilitate the conduct and mngt of the audit engagement. When discussing matters included in the overall audit strategy or plan, care is required in order not to compromise effectiveness of audit.
Auditor's responsibility:	The overall audit strategy and the audit plan remain the auditor's responsibility . However auditor may discuss planning with entity's mngt without compromising effectiveness .

Q9. Planning includes consideration of timing of certain activities & audit procedures that **need to be completed prior to the performance of further audit procedures**. For Eg., planning includes the need to consider, **prior to the auditor's identification & assessment of ROMM**, certain matters. Discuss those matters. (NEW)

Hint: refer above Topic "**Planning is Continuous Process**" → Only explain Point (a) to (e) i.e., "**MALE-O**"

Q10. Does consideration for involvement of experts by auditors fall in the domain of planning audit?

Hint: Consideration for involvement of experts by auditors falls within domain of planning.

Q11. CA Kartik is planning for audit, One day, he **reaches the corporate office** & asks for required documentation to ensure surprise element in testing. He had **never shared with management his intention to carry out above procedures**. Is approach of CA Kartik proper?

Hint: auditor may decide to discuss elements of planning with the **management** to facilitate the conduct & mngt of the audit engagement without compromising audit effectiveness. Sharing details of visit to test controls does not compromise audit effectiveness, But better facilitation & conduct of audit. So, approach of is NOT proper.

Q12. Finance Head of Company prepared the audit strategy, & Statutory auditor followed that strategy. [MTP25]

Hint: [Audit Plan & Strategy is Responsibility of Auditor]

- Auditor shall establish an overall audit strategy that sets the scope, timing and direction of the audit.
- Auditor plans what type of A.procedures are to be performed, their timing & how much work (sample size etc.)
- remain the auditor's responsibility →. It is auditor who is responsible for establishing overall A.strategy & plan.
- However, auditor may discuss elements of planning with entity's management without compromising effectiveness of audit.
- In the given case, CA Tina, auditor of SKY Ltd. asks its finance and audit head to prepare audit strategy and to draw detailed audit procedures.

In view of above, CA Tina should prepare overall audit strategy and detailed audit procedures. Therefore, approach of CA Tina was wrong.

Q13. CA X, while planning audit, feels that she would inquire from inhouse legal counsel of company, status of pending litigation to identify & assess ROMM. Where these identified procedures are included in planning?

Hint: These are planned RAP to identify & assess ROMM. The objective of planned inquiry of inhouse legal counsel is to identify and assess ROMM. Such planned RAP are included in audit plan in accordance with SA-300.

Q14. Planning an audit of FY 2024-25, (Report of PY issued on June'24) → when planning Start & end ? [MTP'25]

Hint: [Refer Above Topic "**Planning is Continuous Process - SA 300**", (Except MALE-O Matters)], Hence → planning commenced right after completion of audit of PY in Jun'24. → continued till completion of audit of Yr 2024-25.

➤ Planning Process- Elements of Planning:

Preliminary engagement	Q: CA appointed as auditor, before starting audit they consider Integrity of directors independence & engagement letter. → Explain stage of audit planning process here (RTP'26)
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activities Saamne wala → apan ... → or poorana wala SQC-1 Accept Final ethic SQC 1: :Communicate : identify c&r that create threat : action	<u>Hint</u>: Refer below whole answer: [Preliminary engagement activities → (a), (b), (c)] The auditor considers whether relationship with client should be continued and whether ethical requirements including independence continue to be complied with. It includes: - Q15. SA 220, circumstances to consider before accepting/Continue engagement of a new client. <u>Or</u> Doing audit from last 5 Yr → but this year change in Company mngt → mngt not providing evidence → what <u>procedures</u> to perform before deciding continuance of client (preliminary engt) : Jan'26 a) Performing procedures regarding the <u>CONTINUANCE</u> of the client relationship Acceptance and Continuance of Client Relationships and Audit Engagements Appropriate procedures regarding the acceptance and continuance of client relationships → firm should obtain information considered necessary before accepting new client or continue an existing engagement Example of matters: • Integrity of principal owners and key management, • competence of engagement team to perform the audit engagement and • implications of matters that have arisen during current and previous audit engagement may need to be considered. • communication with predecessor auditor b) Evaluating compliance with ethical requirements, including independence Q16. Discuss how an engagement partner ensures that firm complies with relevant ethical requirements including independence in relation to client. Q. preliminary engagement activities being performed, How shall he form a conclusion that audit firm complies with independence requirements? (May'24 RTP) <u>Answer:</u> Throughout the audit engmnt, partner shall remain alert, through observation and making inquiries as necessary, for evidence of non-compliance with relevant ethical requirements by members of the engagement team. → If matters come that indicate members of engmnt team have not complied with ethical requirements, the enmngt partner, in consultation with others in the firm, shall determine the appropriate action. For INDEPENDENCE requirements, Engagement Partner Shall: a) Obtain relevant information from the firm to identify and evaluate <u>circumstances & relationships that create threats to independence.</u> b) Evaluate information on identified breaches, if any, of the firm's independence policies and procedures to determine whether they create a threat to independence. c) Take appropriate action to eliminate such threats or reduce them to an acceptable level by applying safeguards, or, if considered appropriate, to withdraw from the audit engagement, where withdrawal is permitted by law or regulation. c) Establishing an understanding of terms of engagement Auditor sends an audit engagement letter before the commencement of the audit to help avoid misunderstandings Planning Activities: Planning activities include: • Establishing Overall Audit strategy (Explain Factors for establishing Audit strategy) • Development of audit plan (Explain Factors for development of audit plan)
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Q17. Preliminary engagement activities include certain activities to be performed by an auditor while planning an audit. Discuss such activities briefly. How performing such activities assists an auditor? (RTP'24 & SM)

Answer:

1) Performing procedures regarding the **continuance** of the client relationship [220]

2) Evaluating compliance with **ethical requirements**, including independence [220]

3) Establishing an understanding of **terms of engagement** [210]

Performing preliminary engagement activities assists the auditor in identifying and evaluating events or circumstances that may affect auditor's ability to plan and perform audit engagement.

Contents of an Audit Plan:

Factors for Development of Audit Plan:

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Q18. Write a short note on Contents of an audit plan Or Matters in Audit Plan. → How Audit Plan is in more detail than Strategy + Example of how the timing of planning about audit procedures might evolve during the course of audit

Q. The audit plan includes the nature, timing and extent / Description of audit procedures to be performed by engagement team members. Explain

SA-300 states that auditor shall develop an audit plan that shall include description of:

RAP	(i) NTE of planned risk assessment procedures , as determined under SA 315 "Identifying & Assessing the ROMM through Understanding the Entity and Its Environment".
FAP	(ii) The NTE of planned further audit procedures at the assertion level, as determined under SA 330 "The Auditor's Responses to Assessed Risks".
OAP	(iii) Other planned audit procedures that are required to be carried out so that the engagement complies with SAs

- The auditor plans what type of audit procedures are to be performed, their timing and how much work should be done taking into account sample size etc.
- The audit plan is more detailed than the overall audit strategy that includes the nature, timing, and extent of audit procedures to be performed by engagement team members.
- Planning for these audit procedures takes place → over the course of the audit as the audit plan for the engagement develops:
For example, planning of the auditor's RAP occurs early in the audit process. However, planning the NTE of specific FAP depends on the outcome of those RAP.

In addition, the auditor may begin the execution of FAP for some classes of transactions, account balances and disclosures before planning all remaining further audit procedures.

Relationship Between Audit Plan & Strategy: (SA-300)

Q19. Once the overall audit strategy has been established, an audit plan can be developed to address the various matters identified in the overall audit strategy. Explain. [OLD, Sept24]

- Audit strategy sets the broad overall approach to the audit whereas audit plan addresses the various matters identified in the overall audit strategy.
Audit strategy determines scope, timing, and direction of audit.
Audit plan describes how strategy is going to be implemented.
- The audit strategy is prepared before the audit plan.
- Once the overall audit strategy has been established, an audit plan can be developed to address the various matters identified in the overall audit strategy, taking into account the need to achieve the audit objectives through the efficient use of the auditor's resources.
- The audit plan contains more details than the overall audit strategy it include the NTE of the audit procedures to obtain SAAE
- The establishment of the overall audit strategy and the detailed audit plan are not necessarily discrete or sequential processes but are closely inter-related since changes in one may result in consequential changes to the other.

Benefits: (SA-300)

Q20. You are required to analyse and explain the benefits of Planning in an Audit of FS.

Q. Briefly explain why it is necessary to plan the audit of XYZ Ltd.'s FS? [MTP May'25]

SA 200 → state that to achieve the overall objectives of the auditor, the auditor shall use the

Trick:

"Engagement team" ko
"Important" tor pe &
"manage" karne h

objectives stated in relevant SAs in planning and performing the audit. Without a careful plan, the overall objective of an audit may not be achieved. The audit planning is necessary to conduct an effective audit in an efficient and timely manner.

Benefits/Advantages of Planning in an Audit of Financial Statements

Select, Coordinate, Direct & Supervise	1. Assisting in the <u>selection of engagement team</u> members with appropriate levels of capabilities and competence to respond to anticipated risks, and the proper assignment of work to them. 2. Assisting in <u>coordination</u> of work done by others such as experts 3. Facilitating the <u>direction and supervision</u> of engagement team members and the review of their work
Important Area	4. Auditor to devote appropriate Attention to <u>Important areas</u> 5. Identify and resolve <u>Potential Problems</u> on timely basis
Manage Audit	6. properly <u>organize and manage</u> the audit engagement so that it is performed in an effective and efficient manner

So, planning an audit ensures that audit risk is reduced to an acceptable low level. When audit work is adequately & properly planned, it reduces the risk of inappropriate opinion by the auditor.

Change in Audit Plan & Strategy:

Factors on which NTE of Plan Vary/ Change

Q21. During audit CA Discover info that Significantly Differs from what was available when A.procedure were initially planned - what to do ? (i.e Earlier company was doing only trading of mobile accessories, now also assembling them) [Sept'25]

- The auditor shall update and change the overall audit strategy and the audit plan as necessary during the course of the audit. As a result of
 - ✓ Changes in conditions
 - ✓ Unexpected events, or
 - ✓ The audit evidence obtained from the results of audit procedures,
- The auditor may need to modify the overall audit strategy & audit plan and thereby resulting planned NTE of FAP, based on the revised consideration of assessed risks.
- This may be the case when information comes to the auditor's attention that differs significantly from the information available when the auditor planned the audit procedures. For example, audit evidence obtained through the performance of substantive procedures may contradict the audit evidence obtained through tests of controls.

Documenting the Audit Plan:

Q22. auditor fails to document audit strategy and audit plan. outline consequences of such failure
Q. Is it necessary to document A.plan? If so, what all activities in planning phase to be documented?
Q. CA D is planning an audit of listed company. List specific documentation requirements in accordance with SA 300 i.r.t planning such an audit. How such planning documentation is useful?
Q. what included in documentation of A.strategy & plan and how audit docs address changes

The auditor shall document

- (i) The overall audit strategy.
- (ii) The audit plan, and
- (iii) Any significant changes made during the audit engagement to the overall audit strategy or the audit plan, and the reasons for such changes as under

(a) **Record of Key Decisions:** The documentation of the overall audit strategy is a record of the key decisions considered necessary to properly plan the audit and to communicate significant matters to the engagement team. (For example, Auditor may summarize the overall audit strategy in the form of a memorandum that contains key decisions regarding overall scope, timing & conduct of the audit).

(b) **Record of NTE of RAP:** The documentation of the audit plan is a record of the planned NTE of RAP and FAP at the assertion level in response to the assessed risks.

DSR	(c) Record of reasons for Change in Audit Plans: A record of the significant changes to the overall audit strategy and the audit plan, and resulting changes to the planned NTE of audit procedures, explains why the significant changes were made, and the overall strategy and audit plan finally adopted for the audit.
Direction, Supervision & Review [DSR]: [itni badi & risky audit ko DSR karne ki capability hai kya mujhe?]	Q23. Discuss few factors affecting such supervision & review of work of engagement team (sept25) ➤ The auditor shall plan the NTE of direction and supervision of engagement team members and the review of their work. ➤ The nature, timing and extent of the direction and supervision of engagement team members and review of their work vary depending on many factors, Including: a) The size and complexity of the entity. b) The area of the audit c) The assessed risks of material misstatement [Eg, Increase in assessed ROMM → Increase Extent & Timeliness of DSR of ET] d) The capabilities and competence of the individual team members performing audit work.

➤ Audit Programme:

Series of verification procedures to be applied to the FS and accounts to Obtain SAAE. It's a detailed plan of applying the audit procedures. Generally prepared to allocate work to team members which may include list of audit procedures and instructions to be followed by the member. Estimates duration for completing task

Separate Program for Each business	Q24. One audit programme applicable to all business under all circumstances is not practicable. Q. APR & Associates, a CA firm, are appointed as the auditors of Time Ltd. and Bakes Ltd. The volume and nature of business of both the companies are entirely different. CA R suggested that He can use same audit program for Time Ltd and Bakes Ltd. (May'24) • Businesses vary in nature, size and composition; work which is suitable to one business may not be suitable to others; efficiency and operation of internal controls and the exact nature of the service to be rendered by the auditor are the other factors that vary from assignment to assignment. • On account of such variations, evolving one audit programme applicable to all business under all circumstances is not practicable. • However, it becomes a necessity to specify in detail in the audit programme the nature of work to be done so that no time will be wasted on matters not pertinent to the engagement and any special matter or any specific situation can be taken care of. • In view of above mentioned provisions, CA. P is correct in emphasizing for a different audit programme for Time Ltd.
The Assistant Engaged - Be Encouraged To Keep An Open Mind:	Q25. KSR Ltd. has diversified their business during last year. senior member of the audit team handed over the standard audit programme of earlier years to the audit assistants & instructed them to follow the same. Assistants conducting audit accordingly. → Whether the attitude of assistants justified or they are required to keep an open mind? [MTP'24] • To start with, an auditor having regard to the nature, size & composition of the business and the dependability of the I.C and the given scope of work, should frame a programme. • Alter the program as per new situation: As experience is gained by actually carrying out the work, the programme may be altered to take care of situations which were left out originally • The assistant engaged in job should be encouraged to keep mind open beyond the programme. • He should be instructed to note and report significant matters coming to his notice, to his seniors or to the partners or proprietor of the firm engaged for doing the audit. In the given case, the attitude of assistants of TP & Co. is Not justified. They should keep an open mind and go beyond the programme to take care of newer areas of the business of KSR Ltd. into which the Company has diversified.

Periodic Review of Audit Prog. (why periodic review of A. programme is essential) <u>Trick: Kyu</u> Review karna h ? → taaki <u>regid</u> naa ho → <u>Kya</u> Review krna h ? <u>MCQ:</u> Evaluation of IC is imp. part of A. program	Q26. The utility of audit programme can be retained by keeping the programme and IC under <u>periodic review</u> so that inadequacies of the programme may be removed. Explain [OLD] Q. some <u>major changes</u> in its business policies, still Auditor followed the PY program (Sept'24) • <u>Why To review:</u> There should be periodic review of the audit programme to <u>assess whether the same continues to be adequate for obtaining requisite knowledge and evidence</u> about the transactions. Unless this is done, any <u>change in the business policy</u> of the client may not be <u>adequately known</u>, and consequently, audit work may be carried on, on the basis of an obsolete programme and, for this negligence, the whole audit may be held as negligently conducted and the auditor may have to face legal consequences. • <u>Review Clients Operation & IC:</u> The utility of the audit programme can be retained and enhanced only by keeping the programme as also the <u>client's operations and internal control</u> under periodic review so that <u>inadequacies or redundancies</u> of the programme may be removed. However, as a basic feature, audit programme not only lists the tasks to be carried out but also contains a few relevant instructions, like the extent of checking, the sampling plan, etc. • <u>Rigidity:</u> So long as the programme is not officially changed by the principal, every assistant deputed on the job should unfailingly carry out the detailed work according to the instructions governing the work. Many persons believe that this brings an element of rigidity in the audit programme. This is not true provided the periodic review is undertaken to keep the programme as up-to-date as possible and by encouraging the assistants on the job to observe all salient features of the various accounting functions of the client.
Points to Consider While Formulating Audit Programme:	Audit program need to be reconsidered for <u>modification as per audit progress</u> → it's based on Auditor's review of IC etc. → like earlier auditor believes IC are reliable → but then he comes to know about other procedure more reliable than IC to obtain SAAE → <u>While deciding FAP → Have some Flexibility</u> → But sometime auditor have no discretion of Time (i.e., Yr end inventory verification needed to do at yr end only) Q27. Explain the significant points auditor would consider while developing an audit programme. [Trick: Kya Kaam "Scope" me hai kya nahi karna sab "Written" me le lo > fir har "area" pe "Step & Procedure" lagao "evidence" obtain karne k liye > agar kuch "Error" lage to wapas se "Procedure" lagao] • Stay within the <u>scope and limitation</u> of the assignment. • Prepare <u>written</u> audit programme setting the procedures needed to implement the audit plan. • Include the audit <u>objectives for each area</u> and sufficient details which <u>serve as a set of instructions for assistants involved in audit</u> and help in controlling proper execution of work. • Apply only those <u>steps and procedures</u> which are useful in accomplishing the verification purpose in the specific situation. • Determine the <u>evidence</u> reasonably available and identify the best evidence for deriving the necessary satisfaction. • Consider all <u>possibilities of error</u>. • <u>Co-ordinate the procedures</u> to be applied to related items.
Advantage & Disadvantage of Audit Prog [assistant select karna > usse Instruction dena > ki ye Work tuje	Q28. Explain the advantages and disadvantages of an audit program. [OLD & MTP'25] <u>Answer:</u> Advantage <u>Assistant Selection:</u> Selection of assistants for the jobs on the basis of capability becomes easier when the work is rationally planned, defined and segregated. <u>Clear Instruction to Assistant:</u> It provides the assistant carrying out the audit with total and clear set of instructions of the work generally to be done. <u>Work to be perform (Total Perspective of Audit):</u> It is essential, particularly for major audits, to provide a total perspective of the work to be performed. <u>Fixation Assistant Responsibility (sign):</u> Assistants by putting signature on programme, accept responsibility for work, if necessary, the work done may be traced back to assistant.

karna h > teri
responsibility h
> kuch be
overlook mat
krna > me audit
progrees track
karta rahunga >
wrna next yr
tuje nii lunga]

[Mechanical
work ho jaaega
> Inefficient
assistant ko
bhi Initiative
nahi lega >
bilkul rigidity
aa jaaegi]

- e) Reduce Danger of Overlooking: Without a written & pre-determined programme, work is necessarily to be carried out on the basis of some 'mental' plan. In such a situation there is always a danger of ignoring or overlooking certain books and records. Under a properly framed programme, such danger is significantly less and can proceed systematically.
- f) Progress of Audit (Control & Monitor): The principal can control & Monitor the progress of the various audits in hand by examination of audit programmes initiated by the assistants
- g) Next Yr Guide: It serves as a guide for audits to be carried out in the succeeding year.
- h) Evidence of Exercised Care (Provides evidence against negligence allegations): A properly drawn up audit programme serves as evidence in the event of any charge of negligence being brought against the auditor. that he exercised reasonable skill and care that was expected of professional auditor.

Dis-Advantage

- a) Mechanical: The work may become mechanical and particular parts of the programme may be carried out without any understanding of the object of such parts in the whole audit scheme
- b) Rigid and inflexible: The programme tends to become rigid & inflexible following set grooves; business may change its operation of conduct, but the old programme may still be carried on.
- c) Inefficient assistants may take shelter behind the programme i.e. defend deficiencies in their work on the ground that no instruction in the matter is contained therein.
- d) Kill Initiative: A hard and fast audit programme may kill the initiative of assistants

Q29. Some disadvantages/ Purported disadvantages in use of audit programmes but most of these can be removed/Overcome by following some steps. Do you agree?

Hint: Explain above "Disadvantages"

Above Dis-Advantages can be eliminated by imaginative supervision of the work carried on by the assistants, auditor must have a receptive attitude as regards the assistants, assistants should be encouraged to observe matters & Bring significant matter to the notice of principal

Q30. Rohit, undergoing practical training, is part of an engagement team. He has been provided with audit programme pertaining to sales., he notices that many e-way bills have been cancelled by the company within 24 hours of their generation in month of March. There is no specific instruction in audit programme in this regard. He keeps mum. Is attitude of Rohit proper?

Answer: → Attitude of Rohit is not proper. The assistants should observe matters objectively and bring significant matters to the notice of supervisor/principal. Reasons for cancellation of many e-way bills in month of March need to be looked into. Matter should be informed to engagement partner

Q31. draft a sample "audit programme" for audit of Broad industries, relating to purchases. (RTP'24 & MTP'25)

Answer:

Name of Concern : Broad Industries
Financial Year : 20XX-XX
Prepared by : Name of person with date
Reviewed by : Name of person with date
Approved by : Name of person with date

S.no.	Nature of Procedure	Extent of Check	Basis of Sample	Done by
A	Vouch few purchase invoices of paper from purchase records of concern			
B	Trace these invoices into account books of concern.			
C	Verify few purchase invoices of paper on GST portal.			
D	Trace few purchase invoices of paper in stock records to ensure that these have been added to stocks of raw material.			

Answer Ended Above

Extract of Sample audit programme pertaining to sales of an entity

Name of Concern : Broad Industries
 Financial Year : 20XX-XX
 Prepared by : Name of person with date
 Reviewed by : Name of person with date
 Approved by : Name of person with date

S.no.	Nature of Procedure	Extent of Check	Basis of Sample	Done by
A	Vouch few Sales invoices from copies available in records of the concern			
B	Trace these invoices into account books of concern.			
C	Verify few invoices with e-way bills generated of the E-way bill portal.			
D	Trace few sales invoices into the stock records to ensure that sold quantities have been reduced from stocks.			
E	Trace also few sales invoices into accounts of Buyers			

➤ Audit Program - Designed to provide Audit Evidence (ICAI in Paragraph)

- Evidence is the very basis for formulation of opinion and
- an audit programme is designed → to provide Evidence by prescribing procedures and techniques.
- What is best evidence for testing the accuracy of any assertion is a matter of expert knowledge and experience.
 → This is the primary task before the auditor when he draws up the audit programme.
- ✓ Transactions are varied in nature and impact;
- ✓ procedures to be prescribed → depend on prior knowledge of what evidence is reasonably available i.r.o each transaction

Auditor picks up evidence from variety of fields

Trick:
 DPS² - IAS³
 Collect karenga bhai evidence to.....

An auditor picks up evidence from a variety of fields and it is generally of the following broad types:

- Documentary examination (*Inspection*)
- Physical examination (*Inspection*)
- Statements and explanation of management, officials and employees (*Inquiry*)
- Statements and explanations of third parties, (*External Confirmation*)
- Inter-relationship of the various accounting data (*Analytical Procedure*)
- Arithmetical calculations by the auditor (*Re-Computation*)
- Subsequent action by the client and by others
- State of internal controls and internal checks
- Subsidiary and memorandum records,
- Minutes,

Example:

(Qn)

Sr	For:	Best Evidence
A	Cash in Hand →	"Count"
B	investment pledged with a bank →	"Banker's certificate"
C	verifying assertions about book debts → Debtors	- the client's ledger invoices, - debit notes, - credit notes, - monthly accounts statement sent to the customers are all evidence: - In addition, balance confirmation procedure

Auditor to place Weight on

- The auditor, however, has to place appropriate weight on each piece of evidence and accordingly should prescribe the priority of verification.

each piece of evidence & check AVAILABLE:

- It is true that in all cases one procedure may not bring the highest satisfaction and it may be dangerous for the auditor to ignore any evidence that is available.

By the word "available",

- We do NOT MEAN that the evidence available with the client is the ONLY available evidence. (i.e., can ask client to prepare more, can ask from 3rd part etc..)
- The auditor should know → what normally should be available in the context of the transaction → having regard to the circumstances and usage.

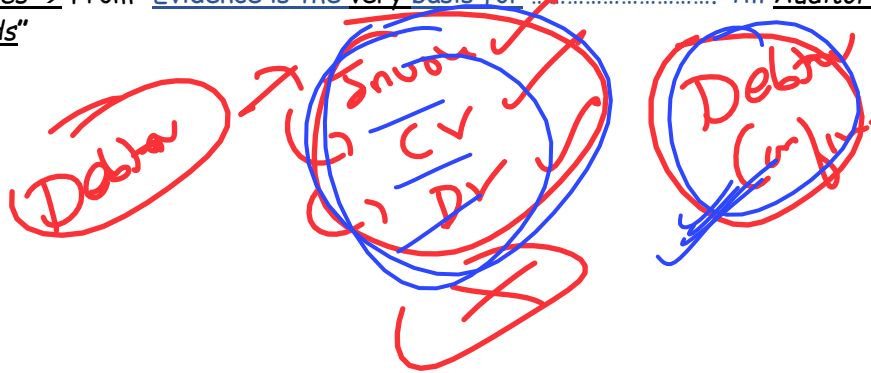
Q32. verifying assertion about BOOK DEBT → informed about the availability of client's ledger invoices, Dr notes, & Cr notes as A.evidence. CA Y accepts these documents as A.evidence, as "available."

(i) is this decision correct based on word "Available" (ii) how auditor should select most appropriate evidence when testing the accuracy of any assertion to form an opinion (May'25)

Hint: (i) Explain given case for verifying book debt Ledger, Dr note etc are available → some of them are corroborative, other being complementary → in Addition → BALANCE CONFIRMATION also provide reliable evi.

• Now Explain Meaning of Word "Available" (Refer above Notes) → So Auditor is INCORRECT

(ii) Refer Above Notes → From "Evidence is the very basis for Till Auditor picks up evidence from variety of fields"



(ALREADY DISCUSSED IN MAIN BOOK)

- c) Ascertain the reporting objectives of engagement to plan the timing of audit and nature of communications required.

(ALREADY DISCUSSED IN MAIN BOOK)

d) Ascertain the NTE of resources necessary to perform the engagement.	Selection of engagement team and assignment of audit work to team members is a significant factor in establishing overall audit strategy. Experienced team members may be assigned in areas where there is higher ROMM. Similarly, engagement budgeting and devotion of more time to areas of higher risk of material misstatement are to be kept in mind.
e) Consider the results of preliminary engagement, knowledge gained on other engagements for the entity	Considering results of preliminary engagement activities and knowledge gained from similar engagements goes a long way in establishing sound audit strategy. Examples are listed as under: - - Results of previous audits that involved evaluating the operating effectiveness of internal control, including the nature of identified deficiencies and action taken to address them. - The manner in which the auditor emphasizes to engagement team members the need to maintain a questioning mind and to exercise professional skepticism in gathering and evaluating audit evidence



THANK YOU